

#	Case Name	Tentative
50.	Hacker v. Crestavilla TRS, LLC 2024-01409932	Defendants, CRESTAVILLA TRS, LLC and KSL CRESTAVILLA MANAGER, LLC's petition to compel arbitration and stay action is DENIED. A party moving to compel contractual arbitration bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. <i>Garcia v. Stoneledge Furniture LLC</i> (2024) 102 Cal.App.5th 41. This can be met by presenting prima facie evidence of a written agreement to arbitrate the controversy. <i>Gamboa v. Northeast Community Clinic</i> (2021) 72 Cal.App.5th 15. The arbitration clause at issue is part of the Resident Agreement. (Decl. of Ajello ¶ 2.) The language of the arbitration clause states: Therefore, by signing below, and in consideration of the parties' mutual agreement to arbitrate, the parties agree that if informal resolution is not possible, any and all claims or disputes arising from or related to this Agreement or to your rights, obligations, care, or services at the Community shall be resolved by submission to neutral, binding arbitration in accordance with the Federal Arbitration Act. This agreement to arbitrate applies regardless of whether the claim is made against us, you, or any other individual or entity, and it includes, without limitation, personal injury and wrongful death claims. If the Federal Arbitration Act does not permit arbitration in accordance with this Arbitration Clause, then the matter shall be arbitrated in accordance with State law. (Exhibit A to Decl. of Ajello.) The Resident Agreement also states it is governed by California Law. (Id.) Defendants argue that the Federal Arbitration Act (FAA) controls, which requires the court to compel arbitration and stay this action. Defendants support their argument by asserting that plaintiff Laurie Luschei's individual claims must be arbitrated as Luschei signed the arbitration clause, and the language of the arbitration clause includes such claims. Defendants are mistaken on all counts.

	First, Luschei’s signature on the arbitration clause was in her capacity as a representative of plaintiff Sheila Hacker. Defendants present no evidence that Luschei signed in her individual capacity. As such, as a stranger to the arbitration clause, Luschei cannot be compelled to arbitrate. <i>Maxwell v. Atria Management Co., LLC</i> (2024) 105 Cal. App. 5th 230, 245. Luschei’s wrongful death claim is personal and lies independent of the survivor claims Luschei pursues on behalf of Hacker. Further, the arbitration clause compels the <i>parties</i> to the agreement to arbitrate. Luschei is not a party to the agreement. In a situation like this, when a case involves claims by a party that is not bound by the arbitration clause, the court looks to C.C.P § 1281.2(c) to determine how to proceed. <i>Cronus Investments, Inc. v. Concierge Services</i> (2005) 35 Cal. 4th 376. In other words, the FAA doesn’t preempt the procedural requirements found in California law when the arbitration clause is worded like the clause in this case. <i>Id.</i> at 393; <i>Maxwell</i> 105 Cal. App. 5th at 248-249. Pursuant to C.C.P. 1281.2(c), the court has discretion to refuse to enforce an arbitration agreement if a party to the arbitration agreement is also a party to a pending court action with a third party arising out of the same transaction or series of related transactions, and there is a possibility of conflicting rulings on a common issue of law or fact. Here, all the allegations in the complaint center around the care and treatment of plaintiff Hacker. The court finds that there is a possibility of conflicting rulings if Luschei’s claim for wrongful death were to proceed separately from the remaining claims. <i>Maxwell</i> at 247-248; <i>Daniels v. Sunrise Senior Living, Inc.</i> (2013) 212 Cal. App 4th 674, 686 (“Indeed, if the survivor claims are ordered to arbitration but Daniel’s wrongful death claim was not, there is a possibility of inconsistent rulings on the claims given that they are [] based on the allegation that Barcenas received inadequate care at Sunrise.”) Based on the above, the court exercises its discretion and refuses to enforce the arbitration agreement. Defendants petition to compel arbitration is denied. The court continues the case management conference to July 21, 2025 at 9:00 a.m. in Department C28.
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		Defendants shall give notice.
51.	Ameris Bank v. Solid Post Holdings, LLC 2024-01420372	Defendant Michael De Paola's motion for leave to file cross-complaint and first amended answer is GRANTED. (Code Civ. Proc. ["CCP"], §§ 426.30, subd. (a); 426.50; 428.10, subd. (b); 428.50, subd. (b); 473, subd. (a)(1).) 1. Cross-Complaint Defendant De Paola's cross-complaint as against Plaintiff Ameris Bank dba Balboa Capital is compulsory because it arises out of the same transaction or occurrence as Plaintiff's claims. (CCP §§ 426.10, subd. (c); 426.30, subd. (a).) Although Defendant De Paola did not file the cross-complaint at the time he filed his answer to Plaintiff's complaint, it is appropriate to grant leave to file now given that notice has been provided to Plaintiff, and Defendant De Paola did not act in bad faith. (CCP § 426.50.) Plaintiff does not dispute this. Instead, Plaintiff argues that one of two causes of action in Defendant De Paola's cross-complaint is legally insufficient. That is not the relevant test under CCP section 426.50. Defendant De Paola's cross-complaint as against Defendant Solid Post Holdings, LLC and third party Russell Luke Stefanko is permissive because it also arises out of the same transaction or occurrence as Plaintiff's claims and involves a claim in the same controversy or subject as Plaintiff's claims. (CCP § 428.10, subd. (b).) A permissive cross-complaint may be filed at any time before the court has set a date for trial. (CCP § 428.50(b).) Here, no trial date has been set yet. Plaintiff's opposition does not address this permissive cross-complaint. 2. First Amended Answer As for Defendant De Paola's motion for leave to file his proposed first amended answer, denial would be highly prejudicial as it would deprive Defendant De Paola the opportunity to assert relevant defenses to Plaintiff's claims. (<i>Hulsey v. Koehler</i> (1990) 218 Cal.App.3d 1150, 1159; <i>Morgan v. Super. Ct.</i> (1959) 172 Cal.App.2d 527, 530.) In contrast, there is no prejudice to Plaintiff as this case has not yet been set for trial, and the parties have ample time to take discovery regarding the new defenses added by the first amended answer. (<i>Hulsey</i> 218 Cal.App.3d at 1159; see also <i>Magpali v. Farmers Group, Inc.</i> (1996)